



THINK OF ANY industry in India. Chances are that it is undergoing a transformation—powered by technology and most probably triggered by the pandemic. That’s especially true for two industries critical to you and me—healthcare and pharma. “The use of tech in the Indian pharma sector is still nascent compared to global standards... There are several areas where Indian firms are working with global consulting and IT services companies. These include supply chain efficiencies, vendor and procurement management, reduction of product rejection or quality improvement, etc.,” says Navroz Mahudawala, MD of Candle Partners, an investment banking advisory firm with experience in health sciences.

With the adoption of cloud backed by modern tech such as AI, machine learning (ML) and data analytics, the Indian healthcare and pharma industry is undergoing quick digital transformation, say experts. This has intensified the demand for cloud computing services, big data analytics and other digital solutions that will

help enterprises and governments improve everything from service delivery to database management and R&D processes to drug discovery and production, among other aspects of the industry.

Riding on these trends, some of the biggest names in the cloud space, including Amazon, Microsoft and Google, are lining up to offer their cloud-based services to healthcare and pharma sector players. “Today, India is one of the largest and most exciting markets for tech companies to build. And if you look at the potential for cloud, all the cloud penetration in India is still in single digits,” says Puneet Chandok, President of Amazon Web Services (AWS) India and South Asia.

So, how did it all begin? Let’s go back to the initial days of Covid-19, when the world was in the throes of a lockdown. While outpatient departments in hospitals and clinics around India were either closed or swamped with patients, the Centre for Development of Advanced Computing worked with AWS to build and launch the eSanjeevaniOPD (National Teleconsultation Service) in just 19 days. The AWS platform was also adopted to design and deploy Co-WIN, the government’s Covid-19 vaccination platform, through which India rolled out one of the largest vaccination

programmes in the world.

Stakeholders believe Covid-19 accelerated digital transformation across public sector bodies by three to five years and led to unprecedented levels of digital engagement with citizens. Now, citizens expect the same kind of experience from the public sector that they expect from platforms like Netflix. “This has prompted public sector organisations to transform how they deliver services to citizens. The cloud has become the bedrock of digital innovation programmes and ‘mission mode projects’ of the Indian government,” says Max Peterson, Vice President of Worldwide Public Sector at AWS.

For instance, the Ayushman Bharat Digital Mission (ABDM), launched in September 2021, uses cloud-based solutions, among other tech, to host a database of citizens’ health records identifiable with a unique digital ID that can be shared with all service providers on the platform. “Post the success of the Co-WIN app and digital ID initiative, overall demand for cloud-native solutions has increased significantly,” says Ram Deshpande, Partner for Digital Advisory and Technology Transformation at EY India.

It’s not just the government pushing health initiatives; cloud-based solutions have found wide usage among India’s health and pharma players. Currently valued at \$50 billion, the Indian pharma industry is expected to reach \$65 billion by 2024 and \$130 billion by 2030, according to India Brand Equity Foundation. India is also a major exporter of drugs, supplying low-cost medicines to over 200 countries. Plus, it is the world’s largest generic drug supplier by volume, making up 20 per cent of global pharma exports in FY22.

It is in this backdrop that pharma firms in India are making

48 |

A PRESCRIPTION FOR SUCCESS

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► **India is a major exporter of pharmaceuticals, with over 200 countries served by Indian pharma exports**

► **The Indian preventive healthcare market is expected to grow from \$93 billion in 2021 to \$197 billion by 2025**

► **There were 7,839 health-tech start-ups in India as of January 11, 2023, according to Tracxn**

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